

▶ **INDIA'S IT SECTOR is facing a defining moment. The sentiment was echoed by Wipro's CEO & MD Srimi Pallia in an analyst call on April 16 after FY25 results. He had been in the top job for a little over a year. There was understandably a lot of attention.**

The tone was measured, but his words did not hide worries over tepid growth and margin pressures. His guidance—tracked most closely—talked about the uncertainty and how clients could take a measured approach, especially on transformational projects and discretionary spending. “With this in mind, and based on our current visibility, we are guiding for a sequential growth rate of -3.5% to -1.5% in constant currency terms,” he said.

Cut to July 17. Little had changed. In a call following the results for the first quarter of FY26, Pallia said returning to profitable growth was a top priority and guided for a sequential growth rate of -1% to 1%.

22 | Wipro isn't an outlier. The IT sector has been struggling for at least three years. The combined revenue of the big four IT firms grew at an annual rate of 10% over the last decade, from ₹2.32 lakh crore in FY15 to ₹6.24 lakh crore in FY25, according to data from ACE Equity. Profits rose 8% a year from ₹48,449 crore to ₹1.06 lakh crore. However, revenue growth has slowed to 5% and profit growth to 7% since FY23, according to ACE Equity data. Shares of Tata Consultancy Services (TCS), Infosys, Wipro and HCL Technologies are down 9-31% over the last one year.

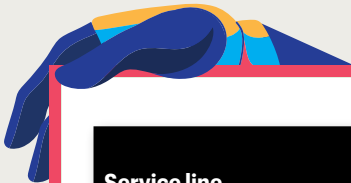
The IT industry, which spearheaded India's economic boom following the 1991 reforms, is now grappling with challenges such as dependence on a legacy business model and a widespread adoption of artificial intelligence (AI) for complex tasks, and mushrooming of global capability centres (GCCs).

Can it weather the perfect storm?

The IT model in India has undergone significant changes over the years. Jaspreet Bindra, co-founder & CEO of AI&Beyond, highlights a few areas—the end of cost arbitrage, the advent of AI that has replaced the role of entry-level engineers, and geopolitics (including the H-1B visa issue and global companies setting up captives in India)—to demonstrate the extent to which things have changed. “Now, it is time to completely rethink the model. Doubling

AI AND IT SERVICES

- In customer app development, 60% revenues will be hit; Productivity is expected to increase 30%



Service line	Share of revenues	Share of revenues impacted by AI
Customer app development	25%	60%
Customer app maintenance	30%	35%
Enterprise app related work	15%	20%
ER&D*	10%	10%
IMS (infra services)	10%	10%
BPO/BPM	10%	40%

NOTE *ENGINEERING RESEARCH & DEVELOPMENT;
SOURCE HSBC GLOBAL INVESTMENT RESEARCH, OCTOBER 2025

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down on GCCs is critical, and the transition from IT services to an AI-first approach by some companies is encouraging,” he says.

By all accounts, the IT companies must travel some distance. Both Gen AI and Agentic AI (the latter having the ability to solve complex problems) are new and rapidly evolving. Even customers need help to understand the technology, identify use cases, and prepare themselves. “They must adeptly shift focus from cost-efficiency to higher-value and innovation-oriented services. However, Indian IT and BPO firms have yet to differentiate themselves effectively in these areas,” says Peter Schumacher, Founder & CEO, Value Leadership Group, an international management consulting